CASCADIA ANALYTICS

Preformed Line Products Company

Equity Research Note | PLPC | 29 OCTOBER 2026

Record Quarter, Real Moat

Preformed Line Products screens as a Hold, Valuation Concerns with a $69.90 blended target, 78% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$318.79	$69.90	-78%	HOLD, VALUATION CONCERNS

Investment Thesis

Record Quarter, Real Moat. Q2 delivered record $212.7M sales (+25% YoY) and record $4.49 EPS (+75% YoY) [10-Q Q2 FY26]. Utilities spec PLPC hardware into their blueprints with rigorous safety certifications, creating switching costs competitors cannot easily dislodge. Market Prices Caution. Our DCF base of $64.11 implies -80% upside from $318.79 [Mkt 17-Oct-26], while the reverse DCF says the market prices about 6.8% growth, between our 4% bear case and our 10% base case. The stock sits 30% below its $505 high

- Record Quarter, Real Moat
- Market Prices Caution
- Multiple Demands Respect

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The latest print

Market Prices Caution. Our DCF base of $64.11 implies -80% upside from $318.79, while the reverse DCF says the market prices about 6.8% growth, between our 4% bear case and our 10% base case. The stock sits 30% below its $505 high despite accelerating fundamentals.

Multiple Demands Respect. The honest offset: 42x trailing P/E is nearly four times the 5-year median of 12.1x. 2024 proved this business can shrink 11% in a down cycle. The setup works if the grid cycle is structural; size the position for the cycle risk.

$212.7M	34.3%	$4.49	$669.3M	$232.8M	$83.4M
REVENUE (Q2 FY26)	GROSS MARGIN (Q2 FY26)	EPS DILUTED (Q2 FY26)	REVENUE (FY2025)	BACKLOG (YE2025)	CASH (YE2025)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 FY26)	$212.7M	+25.0%	Up
Gross Margin (Q2 FY26)	34.3%	+1.6 pts	Up
EPS Diluted (Q2 FY26)	$4.49	+75%	Up
Revenue (FY2025)	$669.3M	+13%	Up
Backlog (YE2025)	$232.8M	+22%	Up
Cash (YE2025)	$83.4M	+45.7%	Up
Long-Term Debt (YE2025)	$32.9M	n/a	Flat

The moat

Grid modernization and transmission expansion, a multi-trillion-dollar investment cycle across North America

The growth engine

Utility spec-in designs with safety certifications create high switching costs and a durable niche moat

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Preformed Line Products Company valuation framework · Generated 29 October 2026

Three scenarios make the valuation range explicit

Three scenarios frame the range; the blended target balances the three outcomes.

SCENARIO	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	4.0%	$994M	4.7%	**$41.10**	-87%
Base	10.0%	$1.24B	7.3%	**$64.11**	-80%
Bull	15.0%	$1.49B	10.1%	**$110.29**	-65%

Bear: downside case at $41.10 (-87%).

Base: central case at $64.11 (-80%).

Bull: upside case at $110.29 (-65%).

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The probability-blended target implies 78% downside

The blended target implies -78% from the $318.79 reference price, balancing the Bear, Base and Bull outcomes in the scenario matrix.

$69.90
BLENDED TARGET

The valuation uses a multi-year discounted cash flow framework across three scenarios. Discount rates are market-implied and updated from live market inputs. The scenario matrix above states what each scenario assumes in growth and margin terms and what it produces: horizon revenue, enterprise value, equity value and the per-share target.

We judge a scenario by whether its growth and margin posture is supported by the filed record and the company's own guidance, and we disclose below how much of each scenario's value sits in the terminal year, because that share is where the valuation risk concentrates.

Reference price	**$318.79**
Bear target	**$41.10**
Base target	**$64.11**
Bull target	**$110.29**
Blended target	**$69.90**
Terminal value share of Base enterprise value	**41.0%**

HOLD, VALUATION CONCERNS | $69.90 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

The market-implied revenue CAGR is 102.6%, at/above Bull (15%) — euphoric.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$0.1B	$23.12	+10%	$0.1B	$38.56	+30%	$0.3B	$64.60
-9%	$0.1B	$23.70	+11%	$0.2B	$39.58	+31%	$0.3B	$66.25
-8%	$0.1B	$24.29	+12%	$0.2B	$40.62	+32%	$0.3B	$67.93
-7%	$0.1B	$24.91	+13%	$0.2B	$41.69	+33%	$0.3B	$69.66
-6%	$0.1B	$25.54	+14%	$0.2B	$42.80	+34%	$0.3B	$71.42
-5%	$0.1B	$26.19	+15%	$0.2B	$43.92	+35%	$0.3B	$73.23
-4%	$0.1B	$26.86	+16%	$0.2B	$45.08	+36%	$0.3B	$75.07
-3%	$0.1B	$27.55	+17%	$0.2B	$46.27	+37%	$0.3B	$76.95
-2%	$0.1B	$28.26	+18%	$0.2B	$47.49	+38%	$0.4B	$78.88
-1%	$0.1B	$28.99	+19%	$0.2B	$48.73	+39%	$0.4B	$80.84
+0%	$0.1B	$29.74	+20%	$0.2B	$50.01	+40%	$0.4B	$82.85
+1%	$0.1B	$30.52	+21%	$0.2B	$51.32	+41%	$0.4B	$84.89
+2%	$0.1B	$31.32	+22%	$0.2B	$52.66	+42%	$0.4B	$86.98
+3%	$0.1B	$32.14	+23%	$0.2B	$54.03	+43%	$0.4B	$89.12
+4%	$0.1B	$32.98	+24%	$0.2B	$55.44	+44%	$0.4B	$91.30
+5%	$0.1B	$33.85	+25%	$0.2B	$56.88	+45%	$0.4B	$93.52
+6%	$0.1B	$34.74	+26%	$0.3B	$58.35	+46%	$0.4B	$95.79
+7%	$0.1B	$35.66	+27%	$0.3B	$59.86	+47%	$0.5B	$98.11
+8%	$0.1B	$36.60	+28%	$0.3B	$61.40	**+48%**	**$0.5B**	**$100.47**
+9%	$0.1B	$37.57	+29%	$0.3B	$62.98			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$163M	$45.7M	$208M	**$41.10**
Base	$279M	$45.7M	$325M	**$64.11**
Bull	$514M	$45.7M	$559M	**$110.29**

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Terminal value share

We disclose how much of each scenario value sits in the terminal year. Terminal value is 41.0% of Base enterprise value (Bear 7.4%, Bull 62.5%). A high terminal share means the target rests primarily on the terminal-year economics in the scenario matrix rather than on the explicit forecast years, and we weigh it accordingly in the investment view.

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$41.10	$44.40	$46.40	$39.14	$29.51	$16.90
Base	$64.11	$69.26	$73.25	$69.28	$61.33	$48.27
Bull	$110.29	$119.15	$127.15	$128.01	$123.53	$111.45

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Oligopoly in formed-wire/utility hardware within fragmented electrical equipment. We assign a premium of +10% to sector median multiples on moat strength alone.

- specification/qualification position with utilities plus pricing demonstrated in 2026 (below), reinforced by the May 2026 Delta Star acquisition expanding the substation portfolio.
- Q2 2026 gross margin 34.3%, up 160bp YoY and 300bp sequentially, attributed by the company to "pricing strategies, supply chain discipline, and operational efficiency"; Q2 2026 diluted EPS $4.49, +75% YoY from $2.56, on record sales $212.7m (+25.4% YoY) (company Q2 2026 reporting via StockTitan, July 2026). Pricing is real in the boom, which is precisely why the cyclical treatment below matters.
- The weakest element is thin through-cycle profitability, TTM net margin 5.82%, return on capital 10.53% (Motley Fool TTM summary, Oct 2026), and demand tied to utility capex cycles.

On a multiple cross-check, the justified range is EV/EBITDA 11.7×; P/E 22.0×. The cross-check value is $168.2, on a base of $7.65 (7.35% normalized EBIT × FY2025 revenue $669.3M × 0.76 ÷ 4.89M shares). The gap verdict is SHRINKS but survives, in part ~38%.

This figure uses the normalized base from the October 27 recheck, not the original boom-year base.

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Backlog is $232.8m firm order backlog, 31 Dec 2025, with coverage of 4.2 months vs 2025 sales and visibility rated Low. On backlog alone, the stance is Neutral near term, does not support Bull 20 percent CAGR durability.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	4 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	0 points
platform, channel, or distribution dependency	0 points
customer insourcing risk	1 points
regulatory single point risk	1 points

The combined discount is 11 percent, capped at 20 percent, against an uncapped total of 11 percent. Shown side by side with the moat premium or discount, the net stance is -1 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $69.90 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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The franchise deep dive

Grid modernization and transmission expansion, a multi-trillion-dollar investment cycle across North America

Utility spec-in designs with safety certifications create high switching costs and a durable niche moat

Data center power demand and renewable integration lifting energy segment volumes

Capacity additions in Poland and Spain plus bolt-on acquisitions expanding the international footprint

Revenue and margin trend

METRIC	FY21	FY22	FY23	FY24	FY25
Revenue	$517M	$637M	$670M	$594M	$669M
Gross Margin	32.1%	33.8%	35.1%	32.0%	31.2%
Op Margin	9.2%	10.9%	12.6%	8.6%	8.2%

Valuation cross-check

P/E (ttm) ~42x

DCF Base $64.11 (-80%)

PEG 7.7

Trailing multiple looks rich, but DCF says the market prices only about 6.8% growth, between our bear and base cases. Forward earnings power, not trailing earnings, is the real debate.

HUBB 27.6x P/E

NVT 41.5x P/E

PLPC trades in line with quality electrical peers on trailing earnings, but peers have deeper coverage, larger scale, and steadier growth.

5-yr median P/E 12.1x

10-yr avg P/E ~15x

Current 42x is nearly 4x its own history. The multiple assumes the earnings recovery is structural rather than cyclical, which 2024 argues against.

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What to monitor

Late Oct 2026. Q3 FY26 Earnings (Positive): Record Q2 sets a high bar. Watch gross margin trajectory and tariff commentary.

Late 2026. Poland Facility Ramp (Positive): New European capacity coming online to serve grid demand.

2027. Data Center Power Demand (Positive): Transmission hardware demand from AI data center buildout is a structural tailwind.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$637M	$215M	$76M	$93M
2023	$670M	$235M	$84M	$105M
2024	$594M	$190M	$51M	$74M
2025	$669M	$209M	$55M	$70M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$568M	$210M	$359M	$37M
2023	$603M	$187M	$416M	$54M
2024	$574M	$152M	$422M	$57M
2025	$654M	$178M	$476M	$83M

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$26M	$-41M	$23M	$-14M
2023	$108M	$-35M	$-49M	$72M
2024	$67M	$-15M	$-48M	$53M
2025	$73M	$-40M	$-9M	$33M

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $69.90 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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Agency risk score 80 of 100: founder-mode alignment, high conviction

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 48.69% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $3.01M of sales, a net flow of -$3.01M. One-year total shareholder return is +59.2% against CEO total pay of $1.72M (Mr. Dennis F. McKenna), which the model scores as PERFORMANCE EARNED.

80

AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	40 / 40	48.69% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $3.01M (2), net -$3.01M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +59.2%; Mr. Dennis F. McKenna, Chief Executive Officer, total pay $1.72M
Agency Risk Score	**80 / 100**	Regime: FOUNDER-MODE // HIGH CONVICTION

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-09-08	Ruhlman Randall M	Beneficial Owner of more than 10% of a Class of Security	SELL	5,142	$2.10M
2026-08-05	Corlett Glenn E. Esq.	Director	SELL	2,000	$914.0K

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SEC proxy audit, DEF 14A filed 2026-03-20

Alignment grade F. NO COMP DATA. Dennis F. McKenna, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
$0	$0	$0	$0

Insufficient data to determine compensation shift or performance alignment.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/80035/000008003526000011/plpc-20260320.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 29 October 2026 for this note.

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The bear case

Tariff Exposure

Management cited tariffs and tariff-related LIFO costs as a headwind pressuring margins, even with a mostly domestic production base.

Cyclical Demand

Revenue fell 11% in 2024 when utility spending paused. Demand is cyclical and tied to utility capex budgets the company does not control.

Rich Multiple

At 42x trailing P/E against a 5-year median of 12.1x, any growth stumble would reprice the stock hard. The stock already fell 30% from its $505 high.

Thin Coverage and Liquidity

Only two analysts cover the stock and average daily volume is light, which amplifies drawdowns when sentiment turns.

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The strengths

Operating Quality

Genuine niche moat: utilities spec PLPC hardware into blueprints with safety certifications, creating high switching costs. Balance sheet is fortress-like with net cash and 0.07x debt-to-equity. But margins are thin for a manufacturer (8.2% op margin) and scale is small, which caps pricing power. Our model's 2030 EBIT margins (Base 17.8%) sit well above the best filed full-year GAAP operating margin of 12.6%; the path rests on grid-modernisation operating leverage and spec-in mix rather than a quantified bridge, and we flag it as the model's most generous assumption.

Recent Trend

Textbook recovery: record Q2 sales of $212.7M up 25%, EPS up 75%, fourth consecutive quarter of gross margin improvement to 34.3%, backlog up 22%. The 2024 down year (-11% sales) is firmly in the rearview.

Forward Growth

Grid modernization, data center power demand, and broadband buildout are real multi-year tailwinds. New Poland and Spain capacity plus bolt-on M&A add optionality. But the company gives no guidance and coverage is thin, so visibility is limited.

Valuation

DCF base $64.11 implies -80% upside and the market prices only about 6.8% growth, between our bear case and our base case. That is the interesting part. The offset: 42x trailing P/E is nearly 4x the 5-year median of 12.1x, so the multiple assumes the recovery is structural.

Cascadia scorecard

Composite score 66: Attractive. Confidence Medium, as of 23-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Genuine niche moat: utilities spec PLPC hardware into blueprints with safety certifications, creating high switching costs. Balance sheet is fortress-like with net cash and 0.07x debt-to-equity. But margins are thin for a manufacturer (8.2% op margin) and scale is small, which caps pricing power. Our model's 2030 EBIT margins (Base 17.8%) sit well above the best filed full-year GAAP operating margin of 12.6%; the path rests on grid-modernisation operating leverage and spec-in mix rather than a quantified bridge, and we flag it as the model's most generous assumption.	64
Recent Trend	Textbook recovery: record Q2 sales of $212.7M up 25%, EPS up 75%, fourth consecutive quarter of gross margin improvement to 34.3%, backlog up 22%. The 2024 down year (-11% sales) is firmly in the rearview.	80
Forward Growth	Grid modernization, data center power demand, and broadband buildout are real multi-year tailwinds. New Poland and Spain capacity plus bolt-on M&A add optionality. But the company gives no guidance and coverage is thin, so visibility is limited.	68
Valuation	DCF base $64.11 implies -80% upside and the market prices only about 6.8% growth, between our bear case and our base case. That is the interesting part. The offset: 42x trailing P/E is nearly 4x the 5-year median of 12.1x, so the multiple assumes the recovery is structural.	58
Catalysts & Risk	Q3 earnings in late October and the Poland ramp are near-term positives with the stock 30% off its high. Tariff headwinds on steel and aluminum, cyclical utility capex, and thin trading liquidity are the counterweights. Skew is positive but fragile.	58

Investment view

Q3 FY26 earnings in late October are the near-term test: another record quarter with margin expansion supports the base case ($64.11). A tariff-driven margin miss or a demand pause would validate the 42x multiple skeptics and push the stock toward the bear case ($41.10).

Investment view: Hold, Valuation Concerns. The $69.90 blended target implies -78%, balancing the $41.10 / $64.11 / $110.29 Bear / Base / Bull outcomes.

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